How has digital banking reshaped consumer trust in financial institutions?

Research Paper By Dhanishita Kumar

Introduction

Digital banking has advanced from being a future concept to an essential part of our daily lives in the past 10 years. Customers now utilize mobile applications and websites for their banking needs rather than waiting for hours outside of business offices. The most important aspect for consumers to adapt to this way of banking is the level of confidence they have in digital banking to provide ease of use and sufficient funds in a timely manner. Digital banking appears to be more accessible, quicker, and has a higher level of user-friendliness than traditional banking methods.

For many years, the primary method of developing trust was through personal interactions with banking institutions as well as a long-standing reputation built over a period of decades, along with additional forms of credibility through brick-and-mortar locations and extensive documentation. Today, however, trust in a digital banking environment is associated more with things that are not visible to customers, including security procedures, data management strategies, and the overall user experience. Most customers' level of trust in a digital banking platform tends to coincide simultaneously with greater apprehension regarding privacy concerns, cyber security risks, and the question of who really has control over their data. Thus, the paradox at the heart of the trust dilemma in digital banking is the conflicting desire for hassle-free online transactions and personalized banking services, and concerns regarding the integrity of the customer’s data (The Financial Brand, 2024).

In the context of digital banking, regulators usually get overlooked in regards to their level of importance, however, they have a major impact on people's trust within digital environments. A well-structured regulatory framework promotes an overall sense of confidence and helps consumers to feel assured that when they conduct financial transactions the protection of their rights and money resides with that regulatory entity. The job of promoting an environment of trust for consumers involves the role of regulatory bodies; there is much discussion around this issue; therefore, it is necessary that consumers embrace the role of regulatory bodies when establishing an atmosphere of trust. The second layer of trust builds on the fact that leading banks and financial institutions are also investing billions of dollars into the development of technology-based controls such as; multi-factor authentication, biometric data, machine learning, and AI to identify and prevent fraud, to help build trust and reduce risk. Technology alone will not create trust between a bank and its consumer; one of the primary factors in establishing a strong foundation of trust is human interaction, i.e., the customer-multi-channelisation of the brand, including customer service responsiveness and the brand's ability to convey a message that is clear and is based on honesty (IJRAR, 2024).

Another major element in establishing a strong level of trust is the effect of social influences. Trust between consumers and brands cannot be established without a human component, and social influences, peer recommendations, online review sites and shared experiences have been extremely influential in the establishment of trust on the internet. Additionally, different consumer demographics view trust for digital banking in different ways; for example, younger consumers, that is, digital natives, have never used traditional banking systems.

Literature Review

Building on what we have observed over the last twenty years, we can see that digital banking originated from the experimental side of traditional banking and continues to play an increasingly important role in the overall ecosystem of modern finance. A significant amount of research has been conducted over the last twenty years to identify what constitutes consumer trust in digital banking, how consumer trust is developed, and when consumer trust breaks down. There appears to be agreement in several areas, but disagreement in other areas within the literature on consumer trust in digital banking. There has been a constant tension between technological advances and human psychology as the primary contributors to the evolution of consumer trust in the digital banking industry.

To begin with, consumer trust is multifaceted in itself. Mayer, Davis, and Schoorman defined consumer trust in digital banking as "the willingness of a party to be vulnerable to the actions of another" (Mayer et al. 1995). This definition shifts the research agenda away from a focus on trust developed through an institution's reputation and service quality and more toward an understanding of trust as a reduction of risk and uncertainty for consumers. Customer trust in Digital Banking has transitioned to include System reliability, Data Security, and Transparency, making consumer trust in Digital Banking increasingly difficult to measure and quantify. (Gefen 2000).

Security is referred to as one of the main building blocks of consumer trust in the digital marketplace, according to multiple studies. For example, (Zhou, 2011) reported that for customers to use online banking, there must be sufficient security and privacy protection, among other security features, e.g. end-to-end encryption, 2-Factor authentication, and biometric identification. As consumers want to protect their financial assets and personal information, security is an important feature for any financial service being offered by banks. It should also be noted that these advanced security features will not gain full trust from customers since if there are any kinds of failures in the system or a breach of data occurs, it will completely shatter confidence that the customer has in the bank. Therefore, financial institutions need to be extremely alert and cautious when dealing with the data security of their financial services.

However, trust extends beyond security. Institutional trust, which refers to the way banks' customers perceive their institutions to be transparent, fair and accountable, is also essential. According to (McKnight, Choudhury and Kacmar, 2002), the integrity and goodwill in today's environment of digital banking also determine customers' trust. Thus, financial institutions should be completely open and above board with their customers with regard to fees, data use and how they will respond to customer complaints. For instance, financial institutions that provide full disclosure regarding their data policies are generally able to obtain higher levels of consumer trust than financial institutions that rely on small print or other types of legalese (Pavlou et al., 2007).

At the same time, as only AI has the capability of customizing an environment to each customer's specifications, especially when delivered through machine learning and advanced analytics, customers can find value-added services in a manner that provides them access to customized financial products and streamlined, on-demand customer service. When personalization occurs at this level, customers may see their relationship with the bank or financial institution as a trusted relationship based upon an emotional bond between them and the institution. However, there are serious concerns about protecting customer information. Customers want to trust that their information will not be compromised as a result of personalization efforts. If the use of customers' data for the purpose of personalization ever becomes an intrusion into their lives, it can completely erode the trust relationship. Therefore, balance between personalization and privacy is a critical element of the digital banking experience.

The existence of social relationships complicates the issue of trust further. In addition to being individual's subjective assessments of a bank or financial institution, trust has social dimensions that are largely developed through environmental experiences, such as with friends and family, the use of user-generated content on review sites, and through social networking sites. Repeat customers often form a significant part of the relationship between an individual customer and the bank or financial institution, as these repeat customers frequently serve as sources of personal recommendation. Trust in the banking sector, especially in the digital channel, tends to develop through environmental experiences such as the formation of social building blocks.

An analysis of demographic segmentation shows a wide disparity in how trust is built in the banking industry. For example, millennials and Gen Z seem to value speed, convenience and innovation in banking over reputation. Conversely, older customers tend to display much higher levels of distrust and slower adoption rates due to either negative experiences from the past or a preference for face-to-face contact with their bank. This generational divide indicates that banks must develop trust-building strategies based on the individual segment rather than using a blanket approach.

Recent empirical studies have yielded mixed results as to whether digital banking positively impacts trust in banking services. Some studies (Singh & Srivastava, 2020) indicate that higher levels of trust occur through an increase in digital channels which reduce transaction friction and create a more efficient transactional environment; other studies (Kim et al., 2019) have found that failures within the technology used for digital banking, for example, the loss of funds due to fraud, disrupt customer trust and negatively impact trust levels more than traditional service failures associated with physical banks. These dynamics are worsened due to rapid technological advancements and customers not being able to keep pace with these advancements, while banks must continuously innovate to combat the decrease in consumer trust.

The regulatory role is another factor influencing this issue. Regulations like GDPR are also an enabler of building trust as they legally obligate banks to act transparently regarding their customers' data. Studies by (Cvrcek et al., 2006) show that regulatory compliance sends a signal by a financial institution that it is committed to protecting the privacy rights of its customers and that this is an indirect enabler of building trust. However, (Webb et al., 2020) argue that excessive complexity around regulations may also deter consumers from engaging with a financial institution and can inhibit the ability to act quickly regarding service delivery, resulting in a conflict between security and usability.

The theoretical research on repair of trust outlines mechanisms for restoring trust after financial institutions experience a security breach or failure in the way they secure customers' data. (Rawlins, 2008) suggests that an institution that experiences a security incident must act transparently and provide timely and effective corrective actions in addition to empowering consumers with the ability to report fraud easily in order to restore consumer trust as quickly as possible. This insight implies that even though trust may be short-lived, it may also be re-established via quick corrective actions as needed.

Additionally, case studies are beneficial for supporting and extending theoretical perspectives on the role of trust in financial services. For example, Accenture's study of BBVA's digital transformation illustrates the manner in which leading banks leverage artificial intelligence to provide better customer support, combined with the use of straightforward communication to create greater levels of trust with customers. Similarly, fintechs like N26 and Revolut can serve as models for building trust in the fintech space through innovative technology solutions combined with user-friendly experiences.

Methodology

This research is being conducted using solely Secondary Data collected from various locations and organisations/reports that are accessible to the public as well as being deemed as reliable sources of Secondary Data. Since this research has the objective of Exploring how Digital Banking impacts Consumers Trust of Financial Institutions, the Secondary Data that are being collected provide opportunities for users of the Secondary Data to explore many different types of trends and factors that are associated with digital banking and consumer behavior across many different geographies as well as a Cost-Effective, efficient way. The methodology used for this research has been expanded upon from multiple recent research studies that have also gathered similar results based on SecondaryData (Szabo &Strang 1997).

Selection of Secondary Data Sources

The data from this Research has been obtained from several reputable sources, including World Bank's Global Findex Database 2025, Accenture's Banking Consumer Study 2025, Thales Group's Consumer Digital Trust Index as well as PricewaterhouseCoopers (PwC) Voice of the Consumer (Global Consumer Survey). These sources of data are all well-recognised sources both in the Academic and Industry community and as such are associated with a great degree of reliability associated with the analysis performed on the data.

The Global Findex Database published by the World Bank provides unique insights into how Digital Financial Inclusion occurs on a Macro Level from the perspective of 140+ Countries and also segregates the wealth of data by Age/Gender and Urban/Rural location in relation to Digital Banking and how that relates to Consumer trust in Financial Institutions.

Data Collection Process

Data collection is performed on a regular basis to provide users with the most updated versions of the data. Most of the time, this includes the years 2020 to 2025. This allows researchers to capture the most recent trends in digital banking. Data related to trust have also been identified for this study, and these metrics include trustscores, privacy concern indexes, percentages of people who own digital accounts, and satisfaction rates; all of these variables will be used in the study to aid the developmental analysis.

This study is focused on visual analysis, and so much of the work will be based on visual representation of the data to illustrate patterns and relationships that lie behind them. Time series line charts, bar graphs that show comparative levels of trust, pie charts that depict concerns consumers have, and heat-maps illustrating geographical distribution of these trends will be the main analytical tools for this study. Visualizing this data provides an intuitive understanding of complex datasets and will support the formation of hypotheses and the validation of those hypotheses.

Analytical Approach

The primary methodology is exploratory and descriptive, with a keen focus on visual analytics. In several instances, numerical data collected from various secondary sources are aggregated and cross-tabulated. By way of illustration, various ownership rates of different types of digital accounts are juxtaposed with trust scores and mobile adoption rates to identify associations and trends. In addition, customers' satisfaction with particular digital banking services is plotted against the respective impact of their perception on trust.

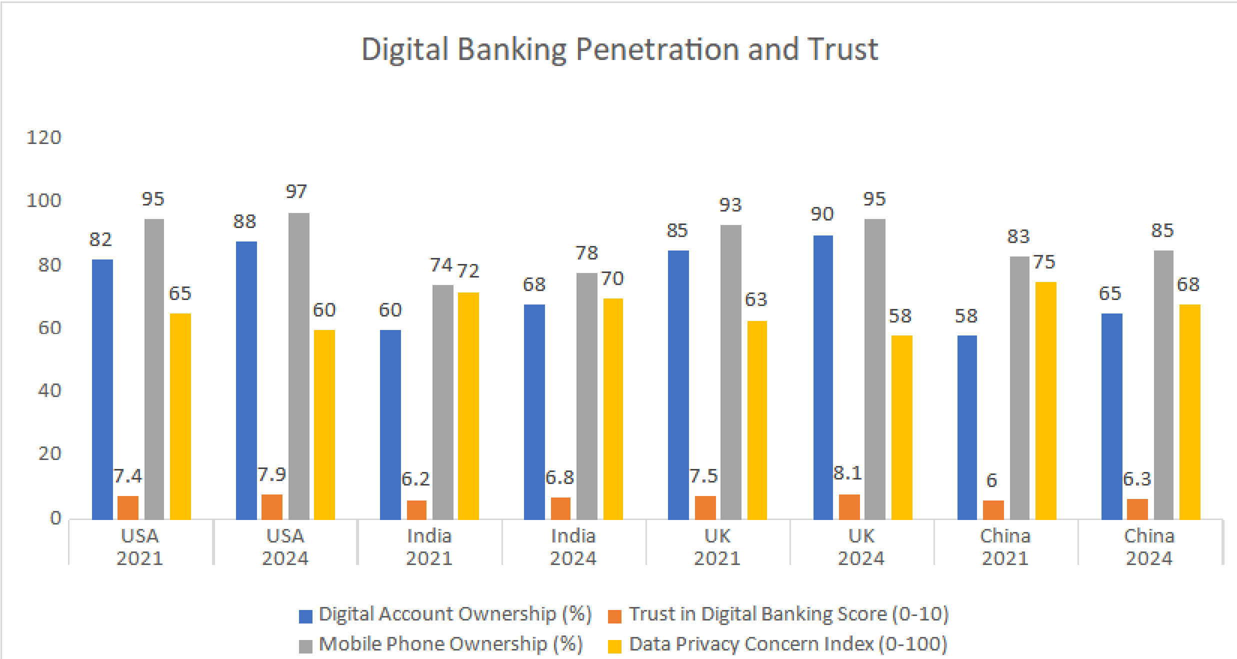
Some inherent limitations associated with the use of secondary data have been acknowledged. The original dataset was derived from a collection of broad industry or policy data collections, which does not correspond with the area of interest for this study; thus, only proxy variables will be used to represent trust. Additionally, differences in survey techniques and target populations, as well as the time frame in which the datasets were obtained, will require careful consideration in interpreting these differences. Nevertheless, the fact that similar findings exist across multiple data sources creates greater confidence in our results.

Results

When one enters the world of banking through digital technology, there is a cacophony of noise and unpredictability that characterises this emerging market place. This is a significant phenomenon; many competing voices, signals, and impressions are all mixed together and create confusion. In such a marketplace, identifying the most salient issues through observation and reflection should be a person's first course of action in evaluating evidence that supports their conclusion. Therefore, in this section, we will present evidence of how digital banking penetration and issues of consumer satisfaction, privacy/safety concerns and trust interrelate for the consumer in their lived and experienced realities in the digital era, using secondary international data and the graphical analysis we created with the data.

Cross-Country and Temporal Patterns in Digital Banking Penetration and Trust

It is difficult not to be influenced by the underlying trend of increasing digital bank penetration over time. The trend is relatively clear, based on secondary international data collected from 2021-2024, from countries with high mobile phone ownership rates including: United States, India, United Kingdom, and China. As seen, there has been a clear increase in the percentage of digital bank accounts owned by consumers in all of the countries reviewed. Examples of how digital bank accounts owned have increased in the United States include: digital bank account ownership increased from 82% in 2021 to 88% in 2024; and mobile phone ownership rose from 95% to 97% over the same period. In addition, the UK has shown similar increases in digital bank account ownership over the same period, moving from 85% to 90%, and also showing an increase in mobile phone ownership.



The above figure highlights that digital account ownership, trust in digital banking and mobile phone ownership has increased over the years but data privacy concerns has decreased from 2021 to 2024.

Source: World Bank Global Findex Database 2025

However, the aforementioned numbers do not reflect the growth of confidence in digital banking. Although the trend for increasing participation is more favourable (as represented by the numbers on a scale of 0-10), the increase in confidence does not keep pace with the increase in access. For example, in the USA, there was an increase in confidence from 7.4 to 7.9, and an increase in access from 7.7 to 8.2 in the UK. It is interesting to note that the delta between the two countries (the USA and UK) has less to do with statistical fluctuations and more to do with the fact that access to digital banking has developed faster than confidence. This is further illustrated by the lack of an increase in China, where confidence has increased by only 6.0 to 6.3, while the number of accounts owned increased from 58% to 65%. While infrastructure can be rapidly rolled out, building trust takes time.

India represents one of the greatest examples in this area. Digital account ownership is estimated to have grown from 60% in 2021 to 68% in 2024, with trust scores increasing from 6.2 to 6.8. These data points suggest that technology access and trust are mutually beneficial, whereby economies will require improvements in both technology access and trust based on the country's current economic and educational environment.

Mobile Phone Ownership and Trust: Is There a Link?

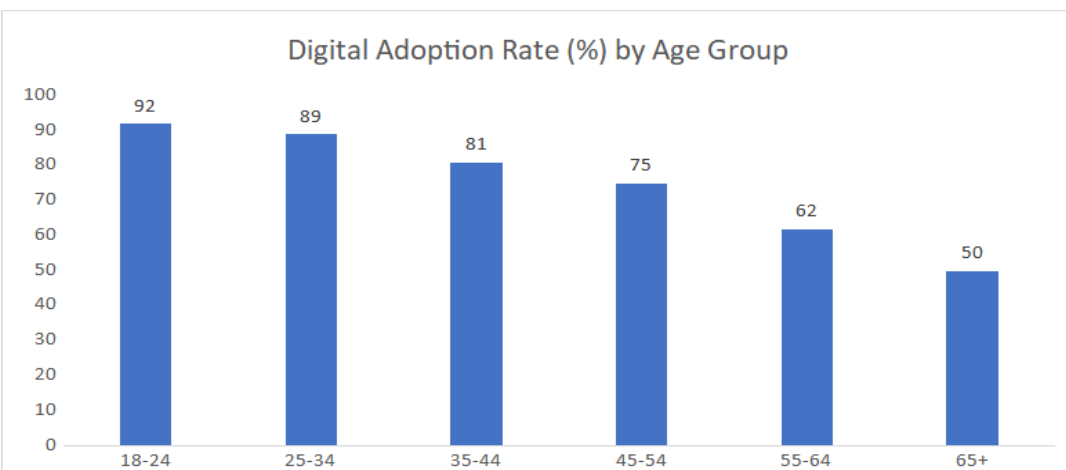
Have a look at mobile phone ownership. Mobile phone ownership today is at a staggering level around the world at 90% excluding China, where it's 83%-85%. The continued high level of mobile penetration across markets indicates that digital banking will likely become more mainstream than it may have been previously thought to be. But there is no direct relationship between mobile phone ownership and mobile banking trust levels. To illustrate this, take, for example, those countries that have a very high level of mobile phone penetration (e.g. the USA, UK), the digital banking trust levels have translated into a high trust level of digital banking. Whereas, in the case of China, the digital banking trust level is lower. This indicates that other factors may affect an individual's level of trust in mobile banking. For example, recent data security scandals and the underlying concern for privacy may play a significant role in an individual's sense of trust. What an interesting phenomenon in that a person's exposure to digital technology does not necessarily create an immediate sense of trust in mobile banking.

Privacy Concerns: The Bumpy Road to Confidence

So, what does this tell us about privacy? The Data Privacy Concern Index 0 to 100 scale, can give us a better perspective on the general perception of privacy by individuals globally. It is also interesting to note that the general trust levels and digital banking account ownership are increasing relatively quickly with respect to their corresponding index scores, but there are still many individuals who are concerned about their privacy. For example, between 2021 and 2024, the U.S. privacy concern index decreased from 65 to 60; India decreased from 72 to 70; and China decreased from 75 to 68.

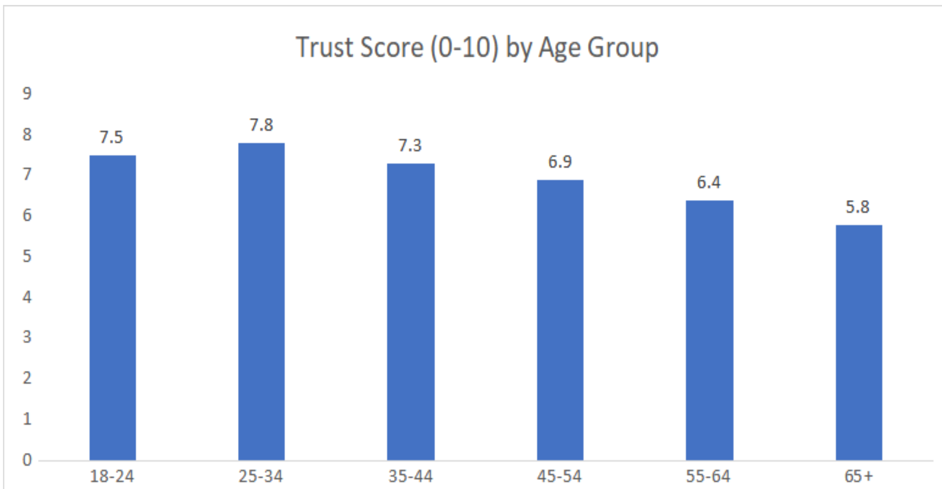
Age Group Insights: Adoption and Trust's Uneven March

The generational divide is evident in the data showing a gradual slope consistent with a hill when it comes to digital adoption rates. Digital adoption is extremely high among those aged 18-24 (92%) and still high among those aged 25-34 (89%) but drops steeply to only 50% for consumers 65+. The hierarchy of trust scores closely mirrors the digital adoption rates, starting with the youngest at 7.5 and declining to 5.8 for the oldest group.



The illustrated figure depicts that digital adoption rate is higher among the younger generations compared to the older generations.

Source: Accenture Banking Consumer Study 2025



The above figure highlights that the younger generations have more confidence in digital banking than the older generations.

Source: Accenture Banking Consumer Study 2025

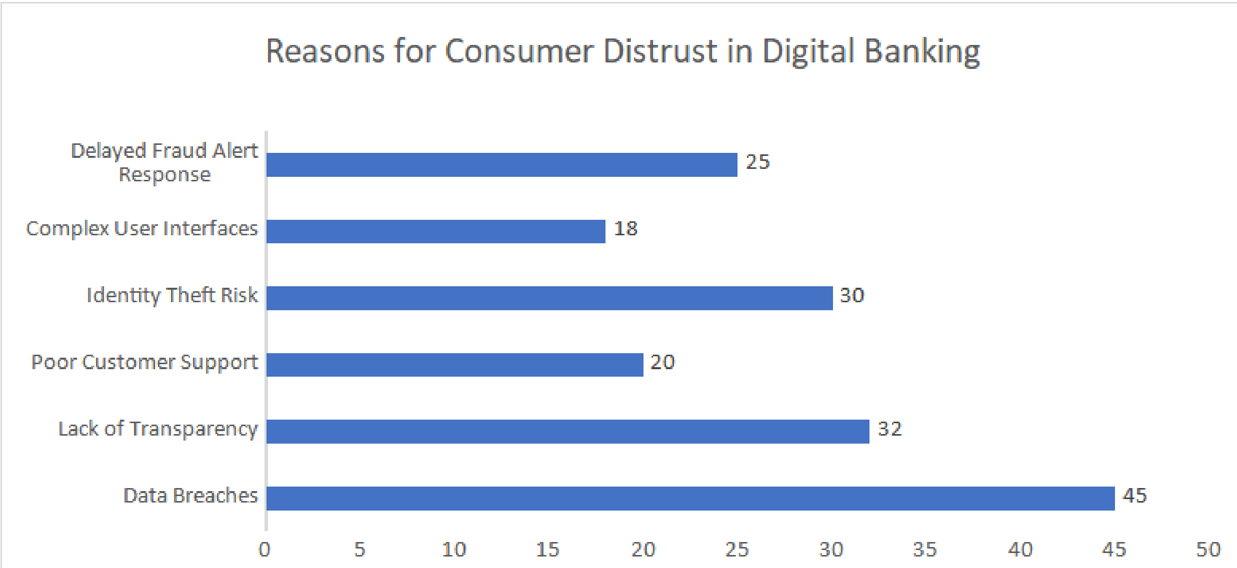
There is a common belief that young people simply trust technology more than older people. While this may be somewhat true, younger adopters also have a great deal of conditional trust in technology and expect that technology will be well-designed, responsive, and transparent. On the other hand, for older consumers, having the option to go into a physical branch still gives them a psychological sense of comfort. They view technology as a wall rather than a window. They may also have read about scams and see less benefit of automation than their younger counterparts.

While I predict that this generational technology adoption curve will flatten out over time, it will never be completely equal. As more digital banking innovations become available, they will have to work even harder to attract "refugees" from the traditional analogue banking world. The story isn't only about the difference between young and older consumers; I have also witnessed instances where older consumers become true advocates for digital banking when they are onboarded on a very personal, human, and clear way.

What Builds and Breaks Trust? Exploring Satisfaction and Distrust

Consumers tend to be very vocal about their work experiences when they are extremely satisfied with the service they received. The reason that satisfaction is so diverse between different forms of digital banking includes mobile banking apps receiving the highest level of customer satisfaction, with online payments and customer support chats having lower scores than mobile apps. But as stated in the survey results, fraud detection alerts rated significantly high when it comes to how consumers perceive trust improvement. The score of 8.2/10 was based on the highest impact on improved trust perception (13%) for consumers. When a consumer receives a notification from a financial institution alerting them to suspicious activity, their level of trust immediately increases; they see it, they believe it.

No matter how great your digital banking service is, it can have a major impact on consumer trust if it doesn't provide them with a safe feeling when it comes to handling sensitive information. According to the survey results, the following are the top five reasons why consumers lack trust: data breaches (45%), lack of transparency (32%), identity theft risk (30%), delayed fraud alert response (25%), and complex user interfaces (18%).



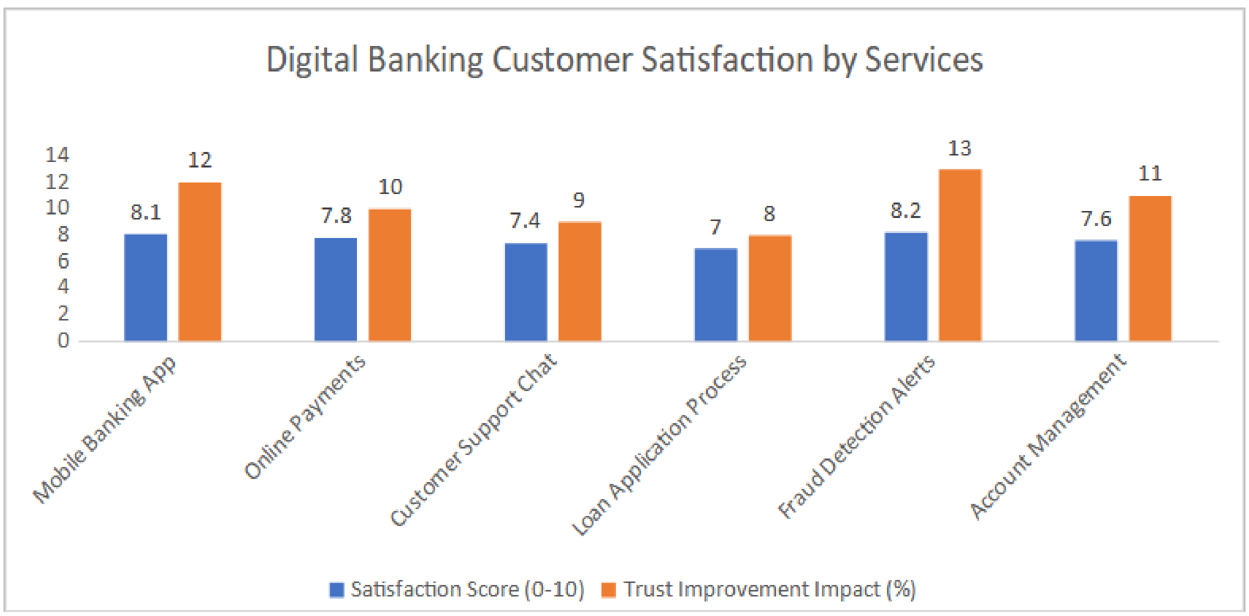
The figure above shows the major factors responsible for distrust in digital banking.

Source: Thales Group Consumer Digital Trust Index 2025 & PwC Reports on Digital Trust

Some of these reasons are simply out of the control of the consumer; however, others can easily be addressed and improved upon in order to help foster a sense of trust in consumers. The best thing a business can do is improve on the things that can be controlled, knowing that trust can easily be lost over something as small as having a confusing website or slow customer support chat, where customers may think their credit card was charged twice or they are having issues with the system.

Patterns in Customer Satisfaction: Small Wins Matter

When looking closely at how trust impacts the various digital banking services, we see that there is generally a correlation; however, not all services produce the same trust improvement results. Fraud detection has the greatest overall impact on trust, and this is consistent with the general understanding that if your bank is monitoring your account in real-time, they are providing you with a sense of security that meets a basic human psychological need. In contrast, all of the other digital banking services—account management and online payments—help to build trust steadily, but do not have an immediate effect.



The above figure highlights which digital banking services yield how much customer satisfaction.

Source: Accenture Banking Consumer Study 2025

Geographic Nuances: Culture, Regulation, and Local Stories

The USA and UK have had well-established financial brands and regulatory infrastructure for many years, which has contributed to both the high level of trust consumers have in those brands as well as how well they have been regulated. In addition, India's rise in trust and account ownership, especially among people living in rural areas, is impressive and has been driven largely by recent government efforts to promote the Aadhaar number and establish a UPI payment infrastructure. China's rapid adoption of digital technology has led to a somewhat lower level of trust, because digitalization has been state-led, and while this has provided opportunities for greater access to technology, there are still concerns regarding the state’s ability to monitor individuals.

When evaluating these modest differences in scores, we must take into consideration all of the various cultural and regulatory factors that impact each market; therefore, while 7.9 and 6.8 may be numerically different, they represent completely different markets.

Digression: The Limitations Hiding in Plain Sight

The data presented in this report represent an average, or aggregate, of what is happening across various segments. There are many individual stories that cannot be represented here; for example, the retiree who finally learned to use online banking during the COVID-19 pandemic and found it to be liberating vs. the young professional who lost confidence in digital banking after one instance of fraud committed against them. Furthermore, the definition of "trust" in digital banking is not necessarily synonymous with "trust" in the institution itself. Technology can elevate an individual's trust in an institution, though, on occasion, a technology error can have an outsized and prolonged negative impact on an individual's trust.

Pulling the Threads Together

Collectively, the results presented demonstrate that trust in digital banking is not a singular, monolithic achievement, but rather an evolving process and dynamic balance. Over time, incremental increases will create a sense of trust for a growing population as more people discover that the digital platform serves their needs, and thus, digital banking trust is fragile and can be easily disrupted.

While access to banking services is growing and skepticism about digital services is gradually decreasing, there are additional risks as the financial systems become increasingly complex and integrated. Digital banking illustrates that banking is much more than numbers; like any relationship, the term "trust" must be nurtured and developed through thoughtful and deliberate interventions, moments of joy, and appropriate reactions when things go wrong. This is as applicable to the largest digital bank as it is to the smallest credit union embracing the digital world.

Final Reflection

Empirical data indicates that digital banking is slowly developing trust, however, that trust has not developed without struggles as younger generations tend to support digital banking whereas the older generations are less supportive of this trend and continue to remain sceptical towards it. Continued development of trust requires financial institutions to continuously improve their technology along with improving their level of customer service; one incorrect move will be far more damaging when it comes to data breaches and transparency than any cool technology features within an application.

Case Study: TD Bank’s Digital Banking Trust Evolution—a Real-World Story

According to an article The Story of Digital Banking & Consumer Trust is more complex than most people realise. The experience of one of North America's most widely recognised banks, TD Bank, is depicted in a case study traversing through moments of optimism, scepticism, learning and innovation while remaining flexible in incorporating new technologies into their existing platform and hoping for the best from their consumers.

Setting the Scene: Why TD Bank?

TD Bank Group headquartered in Toronto, has a large footprint across the US and Canada with millions of customers. Being one of the largest banks in North America means TD Bank's success is built on the foundation of traditional banking practices, strong institutional culture and trust within and outside of the organisation. In 2010, TD Bank recognised it must utilize technology to improve its customer service, and not just by digitising customer transactions or wire transfers, but by viewing the concept of trust from a different perspective - how trust is established, maintained and can be lost in the blink of an eye. However, TD Bank was not the only player in this space - there were numerous other banks and fintechs entering the market with perceived confidence as they developed their own platforms for serving digital natives with instant products. However, TD Bank has taken the time to layer its application of new technology by bank tradition rather than just from a customer service standpoint, thereby growing customer trust through the use of technology.

The Digital Pivot: Investing in AI, Experience, and Data

At this time, TD recognized the limitations of the traditional methods and began to invest in a series of transformation initiatives. He acquired a company called Layer 6, an AI company with a strong reputation for using machine learning and data analytics to derive insights from client data. By leveraging this capability, they could predict with greater accuracy and make banking a more secure and reliable experience for clients.

The development and production of new AI-enabled products have not been without their challenges. There was hesitation because not all senior executives were fully committed to the idea of relying on machines to make decisions, yet TD was determined to make the shift to AI. By investing heavily in the development of nearly fifty AI tools to help in various areas of banking, such as fraud detection, onboarding, and managing risk, TD was able to earn multiple accolades, including being named "Best Consumer Digital Bank in North America" multiple years in a row by Global Finance.

There were new risks associated with the introduction of AI into the bank's operations. These included poor quality data and algorithmic behavior. There were also some technical issues that cropped up and led to customer service representatives being sent on wild goose chases to resolve issues. Nevertheless, with time, the innovation settled down and became part of the daily operations at TD.

Concrete Steps Toward Trust: Making Technology Work for People

In August 2023, TD launched an automated model for processing applications for mortgages and HELOCs that has significantly sped up the approval process through a reduction in time to receive a decision from several days to seconds for uncomplicated cases. While being able to see a decision so quickly may seem trivial, it certainly reduces both frustration and confusion - thus, making it is the "unsung hero" of establishing a bond of trust with applicants.

While having a fast decision does not create a trust bond in and of itself; however, being able to have access to transparency through the processing of mortgage application may create confidence in the borrower. Customers prefer to see what is happening with their applications in real-time; should an error occur, the case would be passed on to a live, human expert instead of being lost within multiple confusing digital screens. By combining AI with a human contact as fall-back, and by balancing automation with human empathy, an applicant will gain confidence that the digital experience provided by the lender is personal and not cold and sterile.

Some customers expressed satisfaction with the digital experience, while others (particularly older applicants) were concerned that there was no longer any kind of personal touch in the processing of their mortgage applications. To address those concerns, the bank's client-facing staff was retrained to be able to blend visual digital explanations of the loan application process with emotional support. In doing so, the bank was showing its customers respect for both speed and assurance, which are different but equally valuable components in establishing trust in the lender.

Security and Privacy: Learning the Hard Lessons

TD Bank has always had an ongoing commitment to safeguarding customer privacy and security by introducing technological innovations like biometric login, multi-factor authentication and encryption. The introduction of these features alone did not eliminate customer concerns, as customers continued to experience glitches or concerns related to cybersecurity fraud. As a result, several customers cancelled their TD Bank account, specifically online banking registrations, after becoming aware of compromising data through another bank. Unfortunately, perception for many customers is not dependent upon the protection of their data, nor does it seem to have any boundaries.

TD Banks' response to the concerns of their customers has been to increase communication. They continually provide updates to customers about their security features, plain language tips and alerts regarding suspicious activity on their accounts. The lesson learned from these examples is that when the confidence of customers has been shaken by a data breach, that transparency through communication is far more effective in regaining customer trust than attempting to do so with technical explanations or jargon.

The Human Side of Trust: Generational Differences and Social Influence

Demographics are extremely important in determining business decisions. The digital adoption of TD Bank customers aged 18 to 34 has increased at a staggering rate. The majority of younger customers have appreciated the convenience of easy set-up, as well as notifications indicating when their account has been accessed. However, those older customers who have adopted TD Bank's digital products have reported that their initial fears and apprehension about mobile banking were replaced with confidence after learning how easy it is to monitor and manage their accounts.

Anecdotes are plentiful: An Ottawa retiree came to rely on mobile banking after initially resisting the service, once she realized how satisfying it felt to track her expenses through a mobile app while also receiving alerts for any fraudulent activity in real-time. Meanwhile, her next door neighbour had no interest whatsoever in using a mobile banking service; instead, he chose to use paper statements and stand in long queues for periodic deposits. TD Bank learned that social narratives, such as, word of mouth, media coverage, and online reviews, have a strong influence on customers' trust and may have more impact on customers' decision to trust their company than new product features. As has always been true, social influence served as a driving force for mobile banking app users. When friends or peers praised the use of a bank's new mobile banking app, there was an increase in both app usage and trust. However, when there were doubts or fears regarding mobile banking, users were less likely to download the app regardless of the actual risk associated with using the application.

Results: Trust Earned, Trust Questioned

Empirical evidence available from the study suggests several trends about the impact of new digital solutions (AI-based credit decisions, intelligent fraud alerts, and personalized dashboard technology) on customers' satisfaction and trust levels among those who utilize digital banking services. The introduction of risk mitigation technology (fraud detection) decreased fraud incidents and improved the perception of the organization among customers post-fraud detection.

There is also the potential for a return to digital trust after having had a negative experience with a digital service. Many individuals returned, albeit with some hesitancy, to using digital services after experiencing a few months of reliable services or hearing positive stories about digital services from friends and family. What this indicates is that Banks, as well as many other organizations, can earn back the trust of customers by taking the necessary time to learn from their past mistakes and correct those mistakes.

Lessons and Wider Implications

Based on the human, realistic, and messy evolution of digital banking, lessons were learned about many of the major areas of concern for all banks in the digital age. Innovations are critical, but it is equally important that banks communicate to customers in both a clear and direct manner regarding new innovations and that they understand the importance of trust and confidence as customers deal with banks that fail to meet their expectations. In addition to transparency and open communication, banks need to take steps to build trust and nurture customer relationships so as to minimize customer losses resulting from technology failure.

Artificial Intelligence has changed the way banks make decisions, and the speed at which banks are now making decisions, however; as evidenced by how TD has used AI and found that AI alone is not the answer, and that trust will only develop through a combination of fast, automated offers, combined with a human element behind that offer. A customer will not feel supported by a quick payment; rather if they see a human who will assist them if they encounter uncertainty, this will provide them comfort.

When considering security, it plays a significant role in building trust. Customers need to see the security improvements and have clear and consistent communication about them in the form of education and communication on best security practices and ways to avoid security-related issues; therefore, constant communication will increase their confidence in their bank even more than a big improvement to the bank’s security technology.

While it seems that there are hard lines separating digital natives and digital immigrants, this line is not nearly as rigid in reality. The digital immigrant customer may appear to be the more hesitant customer to the bank’s products, but over time with education and encouragement, they will become just as satisfied with their banking relationship as the digital native customer. For banks to accomplish this, they need to provide multiple experiences and multiple avenues for the customer to create a relationship of trust.

In terms of building consumer trust, it’s clear that social influence trumps flashy features. No matter how many awesome features a bank might provide, the real trust comes from the influence of words of mouth, peer endorsement, and community reputation. Attempting to build strategies for trust through marketing—without consideration of these social factors—is a recipe for low consumer engagement. Mistakes and setbacks are a natural part of the cycle of trust rebuilding—this is the back and forth between trust falls and trust repairs. Generally, it seems public honesty and action to correct mistakes will lead to getting back on the path to regaining credibility with consumers as compared to silence and spin. After years of TD experimenting, stumbling along the path of learning and growing, it seems to me that consumers build trust through a process of current technology, connection between and among consumers, and through society’s evolving views regarding consumer product and service trust. Certainly, the TD story is not without challenges, but it does a good job illustrating that building trust is an imperfect journey requiring ongoing development and improvement.

Conclusion and Recommendations

Digital banking has a long trajectory in bringing about transformational trust amongst consumers around the financial services industry. This study has identified many of the relationships between digital uptake, technological innovation, as well as consumer perceptions which are reshaping the global trust dynamic. The findings from this research provide evidence of the interplay between on-going digital banking growth and its many barriers. Digital services have reached millions of consumers through the growth of both internet access and digital account ownership. However, trust building takes place over much longer time frames and is influenced significantly by issues regarding personal privacy, generational gaps, and the complicated nature of the social networking of trust (reputation) between consumers and organizations.

Data and analytic case studies such as that undertaken on TD Bank demonstrate that trust does not only arise as a function of technological innovation, but rather through a regular and consistently transparent application and use of technological innovations in a customer-centric manner. Customers desire simplicity over confusion; thus, they want clarity within complex offerings as opposed to presenting confusing illusionary experiences. While Artificial Intelligence improves speed of process through an enhanced capability for detecting and preventing fraud, the real drivers of adopting these Delivery Service Providers (DSP) will be access to human empathy and relationships through clear communication. Trust through security and privacy does not occur in silence; they must be acknowledged, communicated actively, and implemented visibly. There remains a deep-rooted suspicion surrounding cyber-crime and the management of personal data in an unclear fashion.

This study illustrates the ways that digital adoption and deception have been developed through many generations and does not mean that these younger generations are the only ones to drive digital adoption. Younger customers have a greater familiarity with digital systems therefore they will have a greater need and drive to adopt digital banking than older generations.

Older generations may still have some skepticism or reluctance about using digital banking, but like younger customers, when properly welcomed onto a new product, (through thorough onboarding and social encouragement) their confidence in using digital banking will grow. Therefore understanding these customer demographics will further inform a bank's ability to build trust.

The top finding of this study was the strength of social influences versus feature-specific marketing for banks. In order for banks to successfully promote digital banking, they need to consider how they may leverage social influence to create dialogue about their banks' technology innovations and ultimately to build consumer trust. Even if banks invest a lot of time and money in providing digital capabilities, a customer's level of trust may still depend heavily upon what is being said about the bank by others (word of mouth), recommendations made by peer groups, and the feeling individuals have about the bank within a given community. Therefore, it is extremely important for banks to develop and promote both innovative ways of delivering products and to also develop and sustain an active and positive community of users of their technology and provide avenues for open transparent ways of providing customer feedback.

Mistakes and missteps are inevitable and part of the overall trust cycle throughout every innovation journey a bank may experience. A bank's willingness and ability to publicly acknowledge, communicate transparently, and quickly correct these mistakes can be turned into an opportunity to build loyalty from customers (in a possible trust crisis). The TD Bank case represents this ongoing cycle by showing that consumer trust is never really a "done deal". Trust building has a rhythm and needs to be constantly monitored and cultivated.

Banks should first and foremost be transparent about their digital banking services, how they use data and how to identify potential weaknesses, and failing or breaching these areas can lead to confusion, anxiety and mistrust. In order to build empathy and trust from the public, banks need to be forth coming when they have made mistakes, i.e., Privacy Data Breaches. Banks should always have the ability for a human representative available to assist customers with issues and questions they may have while using banks' digital services. This will provide customers with comfort in knowing they will not be left stranded.

In addition to transparency, banks must also provide regular, and frequent, messaging around the banks' security process. Also, as banks develop security programs, it is crucial to identify demographic trust gaps within customers. For instance, many older consumers may be less familiar with and less trustworthy of digital banking. Banks can address these issues through the simplification of interfaces, creation of virtual support systems, and creation of localized, community trust within consumers.

Establishing dynamic, trust-building, social networks will provide customers with the ability to rely on their social networks when making purchasing decisions, as well as to quickly correct any misinformation that may be circulating about the bank. Provides customer with the ability to create open and honest dialogue with their bank, while also giving the bank the opportunity to build on this dialogue using their digital influence to create trust.

Ultimately, banks need to be able to recover from crises. Trust recovery should be part of how banks govern their businesses, therefore creating policies and procedures for transparent communications and the fast, pro-active addressing of customer concerns.

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